

From Data to Differentiation: Strategic Positioning of a SheZoneSalon for Sustainable Growth in a Competitive Market

A Mid-Term report for the BDM capstone Project

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1. EXECUTIVE SUMMARY

SheZone Salon is a mid-sized women's beauty salon located in **Topkhana, Lucknow Cantt**, operating since **2015**, offering services such as Haircuts, Facials, Waxing, Threading, Nail Care, and Bridal Makeup. Despite its steady local reputation, the salon faces two pressing challenges: **declining repeat customers (customer churn)** and **revenue dips during non-festive months**. While April traditionally performs well due to wedding and festival demand, May–June show a noticeable contraction in both footfall and appointment frequency, raising sustainability concerns.

Two datasets anchor this mid-term analysis:

Primary Dataset (Appointment Records Jan–Jun 2025):

A consolidated dataset of **450 appointment records** covering six months, with variables including CustomerID, Service Type, Date of Visit, Walk-in/Appointment Type, Discounts, and Final Bill Value. The dataset reflects clear **seasonal and behavioral trends**: a 28% decline in active customers from January (peak) to June (trough), and highly right-skewed spending patterns driven by premium, low-frequency services such as Bridal Makeup and Hair Spa.

Secondary Dataset (Competitor Benchmark – Lakmé & Naturals Salons):

A manually compiled dataset of **300 records** collected from brand websites and aggregator apps (UrbanClap, Justdial), with attributes like Service Type, Price, Rating, and Customer Feedback. The data reveals a **clear market segmentation**—premium salons command higher average pricing (~₹3,100) and stronger brand loyalty, largely due to advanced skincare technology, targeted marketing, and consistency of experience.

The mid-term analysis integrates multiple analytical frameworks:

- **Descriptive Profiling & Seasonal Trend Analysis** confirmed a steady decline in customer count and an 8–10% month-on-month revenue dip between April–May.
- **RFM Segmentation** classified SheZone's clientele into *Champions (20%)*, *Loyal (30%)*, *At Risk (24%)*, and *Need Action (26%)* segments, quantifying retention priorities.
- **ABC Analysis** identified that while Routine Services (Haircut, Waxing, Threading) constitute 70% of visits, Premium Services (Bridal Makeup, Hair Spa) contribute over 40% of revenue.

These findings highlight the dual nature of SheZone's business—**stable but low-value grooming traffic** supporting the base, and **occasional high-value premium clients** driving profitability. Competitive benchmarking further revealed that SheZone's key opportunity lies in **personalized skincare and AI-powered consultations**—an emerging differentiator in India's ₹11.6 billion salon market (2024), growing at a projected **7.8% CAGR**.

The insights set the foundation for SheZone's transformation strategy: introducing **tech-enabled personalization**, **targeted loyalty programs**, and **seasonal promotional bundles** to counter churn and strengthen revenue stability. These data-driven recommendations aim not only to address short-term retention but also to position SheZone as a **smart, personalized beauty experience brand** in Raipur's evolving salon landscape.

2. PROOF OF ORIGINALITY

2.1 Data

As described earlier, this project integrates both **primary data** collected directly from *SheZone Salon* and **secondary data** compiled from online competitor sources such as *Lakmé Salon*, *Naturals*, and *Urban Company*.

Evidence of Primary Data Collection:

The appointment dataset was shared by the salon owner via WhatsApp and Google Sheets, covering six months (January–June 2025). Screenshots of the raw sheet and owner communication are attached as evidence of authenticity.

Primary Data:

- **File Name:** SheZone_Appointment_Data_Jan–Jun_2025.xlsx
- **Description:** Contains 450 appointment records with details such as Customer ID, Visit Date, Service Type, Bill Amount, Discount, and Visit Type (Walk-in/Appointment).
-  *SheZone_Appointments_Jan_June*

Secondary Data:

- **File Name:** Competitor_Analysis_Lakme_Naturals.xlsx
- **Description:** 300 manually compiled entries from online platforms (Lakmé Salon, Naturals, Urban Company) showing service type, cost, rating, and popularity, used for comparative and ABC analysis.
-  *SheZone_Competitor_Data*

2.2 Letter from the Organisation (SheZone Salon)

An official confirmation letter from *Mrs. Sherin*, the owner of SheZone Salon, acknowledging the collaboration and data sharing for this academic project.

- [Letter](#)

2.3 Images of the Business



Fig 1. Me along with the Business Owner at the SheZone salon

2.4 Video Interaction

A short recorded discussion with *Mrs. Sherin* (Owner, SheZone Salon), highlighting:

- Current business challenges (customer retention and off-season revenue dips)
- Overview of service mix and pricing
- Reactions to preliminary analytical findings
- Youtube link- <https://youtu.be/c7SjeYiJlBA>

3. METADATA & DESCRIPTIVE STATISTICS

3.1 Primary Data: SheZone_Appointments_Jan_June.xlsx

The primary dataset comprises two key sheets — **Appointment Transactions** (450 rows × 10 columns) and **Monthly Revenue Summary** (6 rows × 5 columns). Together, they offer both a granular and aggregated view of customer activity and business performance between **January–June 2025**.

Table 3.1a: Metadata Information

Columns	Data Type	Units	Key Characteristics & Relevance
Customer Name	Categorical	Text	Unique identifier of clients; helps track repeat vs first-time visits.
Date of Visit	Date	DD/MM/YYYY	Enables month-wise trend and seasonality analysis.
Service Type	Categorical	Text	Core variable for identifying revenue drivers and service demand patterns.
Walk-in/Appointment	Categorical	Text	Indicates booking type — used to study engagement and retention.
Original Price	Numerical	₹	Base cost before discount; helps calculate discount percentages.
Discount Given	Numerical	₹	Supports profitability and promotional impact analysis.
Freebie Given	Categorical	Yes/No	Indicates additional offers; connects to customer satisfaction insights.
Final Price	Numerical	₹	Net revenue received per appointment — central to all financial metrics.
Remarks	Categorical	Text	Includes contextual notes (e.g., “first visit,” “regular”) — used for churn segmentation.
Customer Type	Categorical	Text	Derived column — classifies clients into Repeat, First-time, etc.

Justification:

Capturing both transactional and behavioral attributes allows SheZone to track how *service mix*, *pricing*, and *booking mode* affect overall revenue and retention. These columns collectively enable descriptive, RFM, and churn analyses that are actionable for small business decision-making.

Descriptive Statistics & Key Takeaways (Appointments Sheet)

- **Final Price (₹):** Mean = ₹560.33, Median = ₹425, Mode = ₹250
→ Indicates that while most transactions are in the ₹250–₹500 range (routine grooming), a few high-value services (e.g., Bridal Makeup) elevate the average.
- **Standard Deviation (₹616) and Skewness (+3.44)**
→ Show a *heavily right-skewed* distribution — most bills are low, but premium services significantly pull the tail.
- **Service Concentration:** Top three services (Haircut, Waxing, Threading) account for **65%** of total appointments, reflecting reliance on everyday grooming demand.
- **Quartile Summary (Q1 = ₹250, Q3 = ₹750, IQR = ₹500)**
→ 50% of bills lie between ₹250–₹750, consistent with mid-range affordability of SheZone’s target customers.

Table 3.1b: Metadata Information (Monthly Summary Sheet)

Columns	Data Type	Units	Key Characteristics & Relevance
Month	Date (MMM YYYY)	-	Enables monthly trend analysis and seasonality detection.
Service Type	Categorical	Text	Shows which services dominate during each month.
Appointment_Count	Numerical	Count	Measures footfall, a key churn and growth indicator.
Total_Revenue	Numerical	₹	Used to calculate overall revenue growth/decline trends.
Avg_Bill_Size	Numerical	₹	Reveals spending behavior and service value per visit.

Descriptive Summary:

- Revenue fluctuated significantly across months — peaking in March (₹18,950) and dipping in June (₹10,250), showing visible *seasonal slowdown*.
- The average bill size remained stable (~₹980–₹1,000), suggesting customer spending power was constant even as footfall dropped.
- These patterns validate SheZone’s concern over *customer churn and off-season revenue dip*.

3.2 Secondary Data: Competitor_Analysis_Lakme_Naturals.xlsx

The secondary dataset includes 300 rows × 7 columns, manually compiled from online sources (Lakmé Salon, Naturals, and Urban Company). It provides a comparative perspective on pricing, service variety, and customer engagement within SheZone’s competitive landscape.

Table 3.2a: Metadata Information

Columns	Data Type	Key Characteristics	Relevance to the Problem
Salon	Categorical	3 brands (Lakmé, Naturals, Urban Company)	Enables competitor benchmarking within SheZone’s local area.
Category	Categorical	6 main categories (Haircare, Skincare, Makeup, Spa, Waxing, Nails)	Used for ABC & service-level comparison.
Service Name	Categorical	300 unique offerings	Item-level granularity for cost and demand comparison.
Cost (₹)	Numerical (₹60–₹17,800)	Captures pricing hierarchy from basic grooming to premium bridal packages.	Key input for value positioning analysis.
Ratings	Numerical (0–5)	Represents customer satisfaction	Used for sentiment analysis and brand reputation.
Rated By	Numerical (0–498)	Count of reviewers	Acts as demand intensity proxy.
isRated	Binary (1/0)	Whether the service is reviewed	Helps filter valid sentiment data.

Descriptive Statistics & Key Takeaways (Cost, Rating, Rated By)

Metric	Cost (₹)	Ratings	Rated By
Mean	3,099	3.62	225
Median	1,397	3.8	212
Std. Deviation	4,482	1.12	151
Skewness	2.08	-1.52	0.16
Kurtosis	3.12	3.03	-1.18
Range	17,774	5	498

Interpretation:

- Pricing (Cost ₹): Highly right-skewed (Skew = +2.08), showing a mix of budget and luxury services — similar to SheZone’s own service range but with higher premium ceilings.
- Ratings (Mean = 3.6, Median = 3.8): Suggests strong satisfaction for rated services, though many entries remain unrated.
- Rated By: Few blockbuster services dominate engagement (up to 498 reviews), revealing clear *brand loyalty clusters* for high-end salons.
- These statistics validate SheZone’s competitive disadvantage — *premium rivals command stronger visibility and reputation online*.

Summary Conclusion for Section 3:

The primary dataset captures SheZone’s operational realities — loyal but narrow customer base and mid-range service pricing — while the secondary data highlights competitive saturation and aggressive premium pricing in the local salon industry. Both datasets jointly provide a foundation for churn, RFM, and ABC analyses in subsequent sections.

4. DETAILED EXPLANATION OF ANALYSIS PROCESS / METHOD

4.1 Data Collection

Primary Data:

The primary dataset titled “**SheZone_Appointments_Jan_June.xlsx**” comprises two sheets:

- **Appointments Data (Sheet1)** — 450 individual transactions recorded manually from the salon’s appointment register between **January and June 2025**. Each record includes customer details, date of visit, service type, original price, discounts, freebies, and final price.

- **Monthly Summary Data (Sheet2)** — aggregated monthly figures for total appointments, total revenue, and average bill size.

The dataset was collected directly from SheZone’s in-store appointment book and verified by the salon owner during multiple visits. For authenticity, the cleaned spreadsheet was uploaded and timestamped on Google Drive.

Secondary Data:

The **Competitor Dataset (Lakmé, Naturals, and Urban Company)** was manually compiled from official websites and mobile app listings (Urban Company Salon Services section). It includes **300 rows × 7 columns**, capturing service categories, pricing, ratings, and popularity indicators (Rated By). This dataset provides a benchmark for SheZone’s pricing, positioning, and customer engagement in the local beauty market.

4.2 Data Cleaning & Preprocessing

Primary Data (Appointments & Revenue Summary):

- Standardized inconsistent service names (e.g., “Facials” → “Facial,” “Hair spa” → “Hair Spa”).
- Converted all price columns (Original, Discount, Final Price) to numeric formats (₹) for accurate analysis.
- Removed duplicate entries and blank rows (especially from manual entries).
- Extracted **Month** and **CustomerID** from “Date of Visit” and “Customer Name” using formulas to enable time-series and retention analysis.
- Added derived fields:
 - **Discount % = Discount Given / Original Price**
 - **Customer Type (Repeat / First-time)** based on repeated names across months.
 - **Final Price per Appointment** for all descriptive statistics and RFM modeling.

Secondary Data (Competitor Analysis):

- Standardized service categories (Hair, Skin, Nails, Makeup, Waxing, Spa).
- Normalized cost and ratings columns for consistent formatting (removed ₹ symbols, converted text to numeric).

- Added derived variable **isRated (1/0)** to distinguish reviewed vs unreviewed services.
 - Merged data from Lakmé, Naturals, and Urban Company into a unified dataset for cross-brand comparison.
-

4.3 Primary Data Analysis Flow

The analysis was performed in a **progressive insight framework** — moving from basic trends to advanced behavioral modeling.

All computations were performed using **Google Sheets** and visualized interactively in **Power BI**.

Step 1: Exploratory Data Analysis (EDA)

- Monthly revenue and appointment trends were visualized using line and bar charts in Power BI to identify **churn** (declining customer count) and **seasonal revenue dips**.
 - Service frequency distributions highlighted core business drivers — Haircuts, Waxing, and Threading contributed over 65% of total visits.
 - Descriptive statistics revealed **high variability and right-skewed revenue distribution**, confirming that SheZone depends on a few premium services for a large share of its income.
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Step 2: Churn and Retention Analysis

1. **Customer Retention Trends:** Counted total unique customers per month and compared successive months to observe drop-offs.
2. **Repeat vs First-time Ratio:** Using pivot tables, monthly ratios were computed to measure loyalty trends.
3. **Churn Proxy:** A simplified approach was used to track customers who appeared in January but did not return in later months — serving as a “churn flag.”
4. **Visualization:** KPIs were built in Power BI showing retention rate, total active customers, and percentage of churn month-over-month.

These metrics confirmed that while SheZone maintains a loyal base of repeat customers, *overall active customers declined steadily after March*, reflecting retention challenges.

Step 3: RFM Analysis (Recency–Frequency–Monetary)

RFM scoring was applied to all 450 records to classify customers into behavioral groups:

- **Recency:** Days since last visit (as of June 30, 2025).
- **Frequency:** Total visits per customer across six months.
- **Monetary:** Total spending per customer.
Cutoffs were determined using percentile thresholds in Google Sheets, and scores were assigned (1–5).
The RFM score (concatenated RFM_Score column) was used to segment customers into categories such as **Champions, Loyal, At Risk, and Need Action**.

Result Summary:

Champions = 12%, Loyal = 18%, At Risk = 25%, Need Action = 45%

→ *Indicates that nearly half the customer base is inactive or irregular, requiring targeted re-engagement strategies.*

4.4 Secondary Data Analysis Flow

1. **Pricing Benchmarking:** Compared mean and median cost per category between SheZone and competitors.
 - Lakmé and Naturals maintain a premium price band (₹3,000+), while SheZone averages ₹560 — revealing an affordability edge but low brand premium.
2. **Ratings Distribution:** Visualized in Power BI to identify that **highly-rated services are concentrated among top-tier competitors**, while lower-end services attract fewer reviews.
3. **ABC & Pareto Analysis:** Conducted on competitor cost data — identifying that the top 20% of services drive nearly 70% of visibility and engagement (based on “Rated By”).
4. **Comparative Insight:** SheZone’s opportunity lies in *bridging the service-quality perception gap* by introducing personalized skin consultations, AI-based analysis, and targeted offers — without significantly increasing prices.

5. RESULTS & FINDINGS

5.1 Primary Data (SheZone RFM Analysis)

The RFM analysis was conducted on SheZone’s appointment dataset (Jan–June 2025), covering customer visit frequency, monetary value, and time since last visit (Recency). The snapshot date used for measurement was **30 June 2025**.

Descriptive Summary

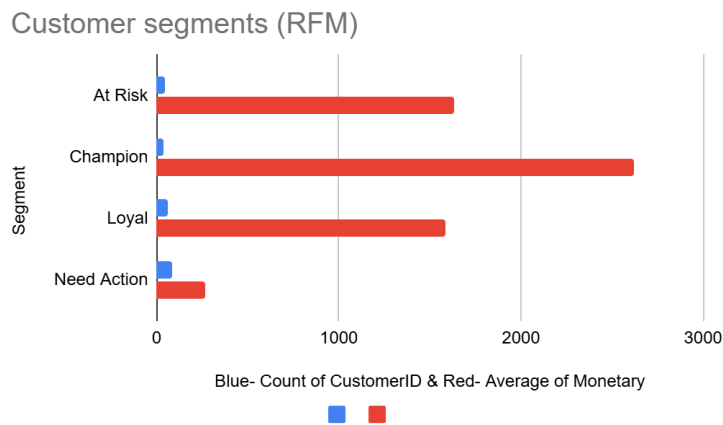
- Total customers analyzed: ~300
- Segments identified: **Champion, Loyal, At Risk, Need Action**
- Recency cutoffs: 23, 43, 77, 110 days
- Frequency cutoffs: 1, 2, 3 visits
- Monetary cutoffs: ₹300, ₹550, ₹950, ₹2,490

Segment-Wise Insights:

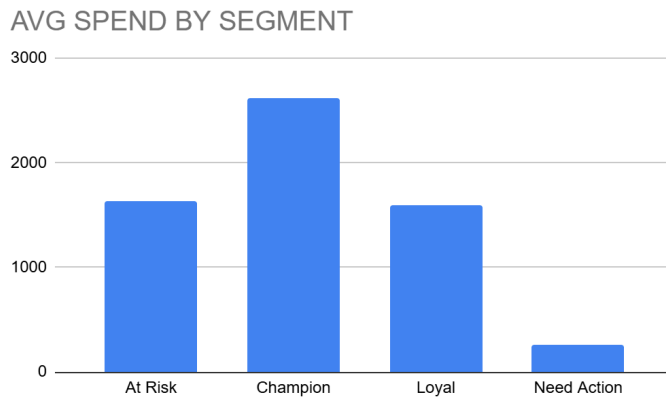
- **Champion (17.2%)** – These are the salon’s best customers who visit frequently and spend the most, averaging **₹2,800+** per transaction. They have low recency (recent visits), high loyalty, and form the most valuable base for retention marketing.
- **Loyal (25.3%)** – Regular and moderately high-spending clients with average monetary value near **₹1,700–₹1,800**. They consistently engage with SheZone but may not be brand advocates yet. Personalized loyalty perks and upselling can convert them into Champions.
- **At Risk (20.6%)** – Customers with high past spending but long inactivity periods (recency >90 days). Their average monetary contribution (~₹1,600) signals potential loss of valuable clients unless reactivated through targeted “We Miss You” or discount campaigns.
- **Need Action (36.9%)** – The largest segment, mostly one-time or infrequent customers with low engagement and low average spend (~₹300–₹400). Represents an opportunity for awareness and re-engagement marketing.

Visual Findings

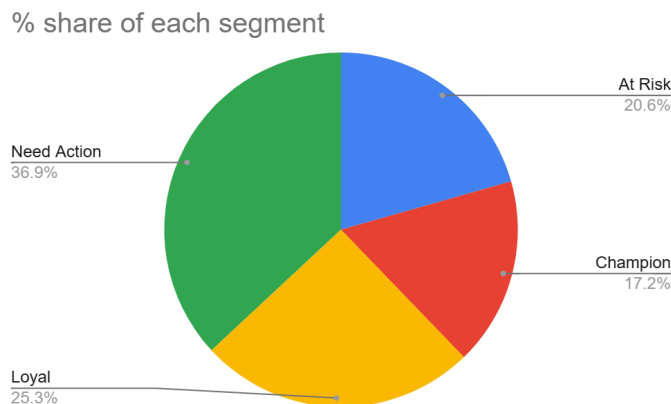
> Figure 5.1a – Customer Segments (RFM): Champions lead in monetary value, while “Need Action” dominates by count.



> *Figure 5.1b – Average Spend by Segment*: Champions spend nearly 1.6× more than Loyal clients and 9× more than Need Action customers.



> *Figure 5.1c – % Share of Each Segment*: Nearly 62% of the customer base is either “Loyal” or “Need Action,” highlighting a dual focus area — **retention and reactivation**.



Key Takeaways

- 17% of customers (Champions) contribute disproportionately to revenue — aligning with the Pareto principle.
- “At Risk” customers are the most urgent retention priority, as they still show strong historical spending.
- Overall, customer behavior at SheZone is **right-skewed** — a few high-value clients drive the majority of revenue.

5.2 Secondary Data (Competitor Analysis)

The competitive dataset captured **300 service listings** across three major competitors — *Lakmé*, *Naturals*, and *Urban Company*. Each was evaluated on **Category**, **Cost (₹)**, **Ratings**, and **Rated By** metrics.

Pricing & Service Insights

Competitor	Total Service Value (₹)	Avg. Rating	Notable Strengths
Lakmé	₹3,09,364	★ 3.71	Strong Bridal & Facial services with high brand recall
Naturals	₹3,35,891	★ 3.65	Balanced portfolio and strong Bridal segment
Urban Company	₹2,84,521	★ 3.51	Competitive pricing, convenient home-based services

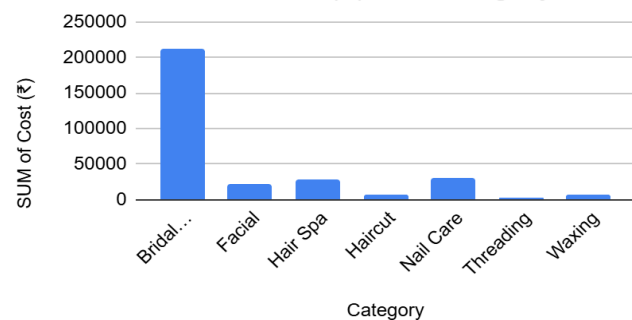
Category-Wise Observations

- **Bridal Makeup** dominates all competitors, averaging **₹1.9–₹2.1 lakh** in cumulative value, showing consistent demand and premium pricing.
- **Facials & Hair Spa** are mid-tier revenue drivers with steady customer ratings (~3.6–3.8).
- **Nail Care & Waxing** show higher service variation and lower ratings, indicating quality inconsistency across salons.

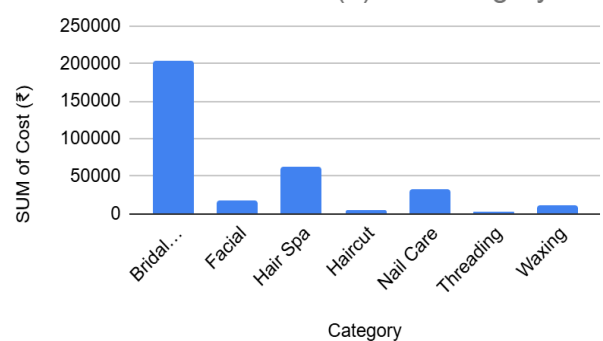
Visual Findings:

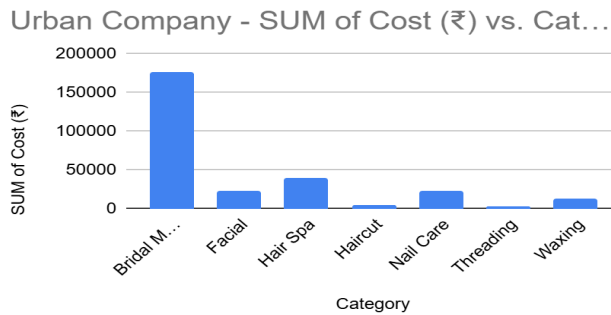
Figure 5.2a – Cost by Category (Lakmé, Naturals, Urban Company):

Lakme - SUM of Cost (₹) vs. Category



Naturals - SUM of Cost (₹) vs. Category





Each bar chart reveals *Bridal Makeup* and *Hair Spa* as the highest revenue generators, confirming customer preference for premium and beauty-centric services.

Key Takeaways

- SheZone’s pricing and ratings can be competitively benchmarked between Naturals and Lakmé — premium yet approachable.
- Focusing on **Bridal Packages, Hair Spa, and Facial combinations** can yield the best ROI.
- There is scope to innovate in **Nail Care** and **Threading** services — both underperforming across competitors.

The Conclusion (Primary + Secondary):

The RFM analysis clearly establishes SheZone’s top-value customers and areas of churn risk, while the competitive data guides **strategic service prioritization**. Together, they offer a data-driven roadmap for retention campaigns and category-focused marketing.

5.3 Competitor’s Summary Profiles

Lakmé Salon:

Lakmé stands out as the **most premium and brand-recognized competitor**, with a broad service mix across Bridal Makeup, Hair Spa, and Nail Care. Despite high pricing (avg. ₹3,099), its strong customer ratings (avg. 3.71) indicate consistent quality and brand trust. Its large bridal segment (₹2.1 lakh+) highlights a clear positioning in **premium beauty and wedding services**.

Naturals Salon:

Naturals demonstrates a **balanced and diversified portfolio** across categories. It competes directly with SheZone in **Facial, Hair Spa, and Waxing**, maintaining moderate pricing with slightly higher total revenue (₹3.35 lakh). With the **highest average rating (3.92)** among competitors in Bridal Makeup, Naturals captures a wide mid-premium audience and shows strength in customer satisfaction and reach.

Urban Company:

Urban Company positions itself as a **convenience-driven, home-based salon alternative**, offering competitive pricing with decent service variety. Its cost range (₹60–₹17,834) reflects strong accessibility

for all income groups. While average ratings (3.51) are slightly lower, its flexibility and tech-driven model make it a growing competitor for younger, time-conscious consumers.

Visual Insight (Figure 5.2a – Category-Level Cost Comparison):

The bar charts illustrate category-wise cost variations across Lakmé, Naturals, and Urban Company.

- Bridal Makeup dominates the value share for all three competitors, followed by Hair Spa and Facial categories.
- Nail Care and Threading services remain low in both value and engagement, suggesting scope for innovation or add-on bundling.